January 2011 Paper 02

Section I (Compulsory)

Question 1

1(a)(i) Characteristics of a partnership

State FOUR characteristics of a: (i) Partnership. (4 marks)

- A partnership is owned by between two and twenty persons who join together to run a business for profit.
- The partners share the capital, the profits and the losses of the business according to the terms of a partnership agreement called a deed of partnership.
- The partners have unlimited liability, which means that their personal property can be used to pay the debts of the business if the business cannot pay them.
- Each partner is an agent of the firm, so any contract signed by one partner in the name of the business is binding on all the other partners.

1(a)(ii) Characteristics of a private limited company

State FOUR characteristics of a: (ii) Private limited company. (4 marks)

- A private limited company is owned by between two and fifty shareholders who buy shares in the company.
- It is a separate legal person from its owners, so the company itself can own property, sue and be sued in its own name.
- The shareholders enjoy limited liability, so they can only lose the money they have put into the company and not their personal assets.
- Shares cannot be sold to the general public on the stock exchange and can only be transferred with the agreement of the other shareholders.

1(b) Advantages of converting from partnership to private limited company

Discuss TWO advantages a business would enjoy by converting from a partnership to a private limited company. (6 marks)

Limited liability for the owners

In a partnership, the partners have unlimited liability and can lose their personal property if the business fails. Once the business is converted into a private limited company, the shareholders can only lose the money they put into the company. This protects the personal homes, cars and savings of the owners and encourages them to invest more confidently in the business.

Easier to raise more capital and continuity of existence

A private limited company can sell shares to up to fifty members and can borrow more easily from banks than a partnership. This means more money is available to expand the business by buying machinery or

opening new branches. Also, since the company is a separate legal person, the death or withdrawal of one shareholder does not bring the business to an end, which gives steady employment to workers and confidence to suppliers.

1(c) Free market vs planned economy

Outline THREE ways in which a free market economy differs from a planned or command economy. (6 marks)

Ownership of resources

In a free market economy, the resources of the country such as land, factories and machines are owned by private individuals and businesses. In a planned or command economy, almost all the resources are owned and controlled by the government on behalf of the people.

How decisions are made about what to produce

In a free market economy, decisions about what to produce, how to produce and for whom are made by private producers and consumers through the price system. In a planned economy, these decisions are made by central government planners who decide what will be produced and how it will be shared among the people.

Role of profit and competition

In a free market, businesses compete for customers and the main motive is to make profit, which encourages variety and efficiency. In a planned economy, there is little or no competition because the government is the main producer, and the goal is to provide for everyone rather than to earn profit.

Question 2

2(a) Comparing private and public sector

Compare the private sector with the public sector in terms of the following: (i) Ownership and control; (ii) Objective; (iii) Source of capital. (6 marks)

Ownership and control

The private sector is owned and controlled by private individuals and groups through sole traders, partnerships and companies. The public sector is owned and controlled by the government on behalf of the citizens of the country, through ministries and state-owned enterprises.

Objective

The main objective of the private sector is to earn a profit for the owners by selling goods and services. The main objective of the public sector is to provide essential services such as health, education and security for the welfare of all citizens, even when no profit is made.

Source of capital

Private sector capital comes from the personal savings of the owners, loans from banks and the sale of shares to investors. Public sector capital comes mainly from taxes paid by citizens and businesses, loans from local and foreign agencies, and grants from foreign governments.

2(b) Benefits a business can provide

Outline TWO benefits a business can provide to EACH of the following: (i) A sole proprietor; (ii) The community. (8 marks)

(b)(i) A sole proprietor

Income and independence

Running a business gives the sole proprietor the profits of the business as personal income, which is often higher than what could be earned in a regular job. The owner also enjoys the freedom of being his or her own boss and making all the important decisions.

Personal satisfaction and skill development

The sole proprietor gets the satisfaction of seeing the business grow as a result of his or her own efforts. By running the business, the owner also builds management, financial and customer service skills that can be used in many other areas of life.

(b)(ii) The community

Provision of jobs and goods

A business provides employment to people in the community, which raises household incomes and reduces poverty. It also supplies goods and services that members of the community need, often within walking distance of their homes.

Support for community projects and government revenue

Businesses often sponsor sporting events, give scholarships and donate to community causes such as schools and clinics. They also pay taxes to the government, which uses the money to provide roads, water and other services for the whole community.

2(c) How government can promote business activity

Discuss TWO ways in which government can promote business activity. (6 marks)

Providing financial assistance and tax incentives

Government can set up special agencies that give grants, low-interest loans and training to small and medium-sized businesses. It can also offer tax holidays and reduced import duties on machinery and raw materials. Because these measures lower the cost of doing business, more people are willing to start businesses and existing firms are able to expand and create more jobs.

Building infrastructure and providing a stable environment

When government builds good roads, ports, electricity supply, water supply and internet networks, businesses can move goods quickly and operate at lower cost. By keeping crime low, inflation under control and the laws clear and fair, the government creates a safe environment in which both local and foreign investors are willing to put their money to work.

Question 3

3(a) Benefits of advertising

State THREE benefits a business may receive from advertising its goods or services. (6 marks)

Increased sales and profits
Advertising tells customers about the product, where it can be bought and why they should buy it. As more customers come to know about the product, sales rise and the business earns more profit.

Building a strong brand image
Repeated advertising helps to fix the brand name, logo and message in the minds of customers. Over time, the business builds a positive image and customers come to trust the brand, which leads to repeat purchases and customer loyalty.

Helping to compete with rival firms
Advertising allows the business to point out the special features and benefits of its products compared with those of its rivals. This helps the business to win customers from competitors and to keep its share of the market.

3(b) Advertising vs sales promotion

Distinguish between advertising and sales promotion, giving TWO examples of EACH. (8 marks)

Advertising
Advertising is any paid form of non-personal communication used to inform and persuade customers about a product, service or business. The message is usually carried by the mass media and is aimed at a large audience over a long period of time. Two examples of advertising are television commercials and billboards along the highway.

Sales promotion
Sales promotion is a set of short-term activities used to give customers an extra reason to buy a product right now. The activities are usually offered for a limited time and are aimed at boosting sales quickly rather than building long-term image. Two examples of sales promotion are 'buy one get one free' offers and the giving away of free samples in supermarkets.

3(c) Benefits of public relations

A supermarket awards ten scholarships to students each year for outstanding academic achievement. Discuss TWO benefits, to the supermarket, of this public relations activity. (6 marks)

Improved image and customer goodwill
By awarding scholarships to outstanding students, the supermarket shows that it cares about education and the future of young people in the community. This builds a positive image and makes customers feel proud to shop there. Customers who feel goodwill towards the supermarket are more likely to remain loyal and to recommend the store to family and friends, which raises long-term sales.

Free publicity and increased sales
The scholarship awards are usually covered by newspapers, radio and television as good news stories, which gives the supermarket free advertising worth far more than the cost of the scholarships. The increased exposure brings the supermarket name to the attention of new customers, which can lead to higher visits and sales, and also makes it easier to attract sponsors and good staff.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a) Sources of personal income

Identify FOUR sources of personal income. (4 marks)

- Wages and salaries earned from working for an employer.
- Profit earned from running one's own business.
- Interest earned from savings deposits in a bank or credit union.
- Rent earned from letting out property such as a house, room or land.

4(b) Budgeting

(i) Explain what is meant by the term 'budgeting'. (2 marks); (ii) State TWO advantages of budgeting. (4 marks)

(b)(i) Meaning of budgeting

Budgeting is the process of preparing a written plan that sets out, in advance, the expected income and the expected expenditure of a person, household or business over a period of time, such as a month or a year. It is used to guide spending and saving decisions.

(b)(ii) Advantages of budgeting

Helps to plan and control spending

A budget shows clearly how much money is expected to come in and how it will be spent on different items. This helps the person or business to live within their means, to avoid debt and to set aside money for important goals such as savings or new equipment.

Helps in setting and reaching goals

By writing down income and planned expenses, a person can see how much money is left for saving towards goals such as buying a car or paying school fees. The budget acts as a target, and comparing actual spending to the budget shows whether the goal is being met.

4(c) Factors when choosing a form of savings

State TWO factors that must be considered when choosing a form of savings. (4 marks)

The rate of interest paid

Different savings products such as savings accounts, fixed deposits and shares pay different rates of interest. A saver should choose the form that pays a higher and steadier rate of interest so that the money grows faster.

Safety and ease of access

The saver should consider how safe the institution is and how quickly the money can be withdrawn when needed. A young saver who may need the money in an emergency would choose an ordinary savings account, while someone saving for a long-term goal could lock the money in a fixed deposit that pays more interest but limits withdrawals.

4(d) Reasons for saving in a bank

Discuss TWO reasons for saving money in a bank as opposed to keeping it at home. (6 marks)

Safety from theft, fire and loss

Money kept at home can easily be stolen by thieves or destroyed by fire, flood or other accidents. When the same money is deposited in a bank, it is kept in strong vaults and is also protected by deposit insurance in many countries. This means the saver is far less likely to lose the money, which gives peace of mind.

Earning of interest and growth of savings

Money kept at home does not earn anything and may even lose value over time because of inflation. Money saved in a bank earns interest at a stated rate, so the savings grow over time even when the saver adds no extra deposits. The bank can also lend the money out to other customers, which helps to develop the wider economy.

Question 5

5(a) Five M's and traditional factors

In order to produce goods and services, the five M's of production - Men, Money, Materials, Machinery and Method - must be present. Identify the traditional factors of production that EACH of the five M's, in the above statement, represents. (5 marks)

- Men represents Labour, which is the human effort, both mental and physical, used to produce goods and services.
- Money represents Capital, which is the funds used to buy the equipment, raw materials and other items needed by the business.
- Materials represents Land, which covers all the natural resources, including raw materials, taken from nature for use in production.
- Machinery represents Capital, which includes all the man-made tools, machines and buildings used in the production process.
- Method represents Enterprise, which is the skill of the entrepreneur in organising the other factors and choosing the best way to produce.

5(b) Distinguishing pairs of terms

Distinguish between the following pairs of terms: (i) Primary production and tertiary production; (ii) Subsistence level production and domestic level production; (iii) Backward linkage and forward linkage. (9 marks)

(b)(i) Primary vs tertiary production

Primary production is the stage of production in which natural resources are taken from the earth, sea or air, such as in farming, fishing, mining and forestry. Tertiary production, on the other hand, is the stage that provides services rather than goods, such as banking, transport, tourism and education. So primary

production gives raw materials while tertiary production provides services that support producers and consumers.

(b)(ii) Subsistence vs domestic level production

Subsistence level production is when a family produces only enough for its own needs, with nothing left over to sell. Domestic level production is when goods and services are produced in larger amounts to supply the local community or country, so some of the output is sold within the country and the producer earns an income.

(b)(iii) Backward vs forward linkage

A backward linkage is when one industry depends on the output of another industry that comes before it in the production chain, for example a bakery that buys flour from a flour mill. A forward linkage is when an industry supplies its output to another industry that comes after it, for example the same flour mill supplying flour to bakeries and biscuit factories. So a backward linkage looks behind to suppliers while a forward linkage looks ahead to customers.

5(c) Factors when locating a large shopping mall

Discuss TWO factors that must be considered when selecting a location for a large shopping mall. (6 marks)

Closeness to a large population and good transport links

A shopping mall needs thousands of customers each day to be successful, so it must be located in or near a large town or city with a sizeable population. The site should also be on a main road and easy to reach by bus, taxi and private car. If a mall is built in a remote area or on a road with heavy traffic, customers will not visit and sales will be too low for tenants to pay their rent.

Availability of land, parking and utilities

A large mall needs a wide piece of flat land that is big enough for the building, parking spaces, loading bays and possible future expansion. The site should also have a reliable supply of electricity, water, telephone and internet services. Without enough parking and utilities, customers and tenants will be put off, no matter how attractive the building looks.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a) Social service and its impact

Identify ONE social service provided by the government of your country and evaluate its impact on the country. (4 marks)

One social service provided by the government is free public education from primary to secondary level. The government builds schools, pays teachers and provides textbooks so that all children can attend school no matter how poor their families are. The impact has been very positive: more young people are now able to read, write and use computers, and many go on to gain skills that allow them to find jobs or

start their own businesses. This raises the standard of living of households, lowers poverty and provides the country with a skilled workforce that supports economic growth.

6(b) Functions of government

Describe the following functions of government: (i) National security; (ii) Maintenance of safe environment for investors; (iii) Job security. (6 marks)

National security

National security is the duty of the government to protect the country and its citizens from outside attack, crime and disorder. The government does this by funding the army, the coast guard, the police and the fire service so that life and property are kept safe.

Maintenance of safe environment for investors

The government must keep crime low, the laws clear and fair and the economy stable so that local and foreign investors feel that their money is safe. It does this through good policing, courts that work properly, sound monetary policy and the protection of property rights.

Job security

Job security means that workers are protected from being unfairly dismissed and have certain rights at work. The government provides this through labour laws that set minimum wages, hours of work, sick leave and rules for fair dismissal, as well as schemes for retraining workers who lose their jobs.

6(c) Assistance offered by Caribbean governments

Outline TWO forms of assistance offered by Caribbean governments to businesses. (4 marks)

Tax holidays and concessions

Caribbean governments often allow new businesses, especially in tourism and manufacturing, to operate for several years without paying company tax. They also allow duty-free import of machinery and raw materials, which lowers start-up and running costs.

Financial and technical support through state agencies

Governments set up special agencies that lend money at low interest rates to small businesses and provide training in areas such as bookkeeping, marketing and quality control. This helps small businesses to start, grow and compete with larger firms.

6(d) Government actions to protect the environment

Discuss TWO actions the government of your country can take to protect the environment. (6 marks)

Passing and enforcing strong environmental laws

The government can pass laws that control the dumping of industrial waste, the cutting of trees and the burning of fuel. By giving an environmental agency the power to inspect factories, fine offenders and shut down illegal operations, the government makes sure that businesses and citizens treat the air, water and land with care. This protects public health and preserves the natural beauty of the country for tourism and for future generations.

Public education and recycling programmes
The government can run national campaigns through schools, radio and television to teach citizens about the harm caused by littering, overfishing and the misuse of plastic. It can also set up recycling programmes for paper, glass and bottles, and place recycling bins in public places. Once the public understands the issues and has the means to act, less waste reaches the rivers and the sea, and natural resources are used more wisely.

Question 7

7(a)(i) Definition of human resources

Define the term 'human resources'. (2 marks)

Human resources are the people who work in a country or business, together with their skills, knowledge, experience and abilities. They are the workers and managers who use the other resources of the country to produce the goods and services that people need.

7(a)(ii) Factors affecting human resource development

Outline THREE factors that affect human resource development in any named CARICOM country. (6 marks)

In Jamaica, three factors that affect human resource development are:

The quality and reach of the education system
When schools and training colleges are well funded, well staffed and accessible to all, more young people gain the literacy, numeracy and technical skills needed for modern jobs. Where schools are weak or fees are high, many citizens leave with poor skills and the workforce remains under-developed.

Health care services
Good health care, clean water and balanced nutrition keep workers strong and able to work for long, productive lives. Where health services are poor, workers fall sick more often, miss work and may die young, which reduces the size and quality of the workforce.

Migration of skilled workers
Many trained Jamaicans, such as nurses, teachers and engineers, leave the country to work in North America and Britain in search of higher wages. This 'brain drain' reduces the stock of skilled human resources at home and slows the development of the country.

7(b) Ways human resources can be developed

State TWO ways in which human resources can be developed in the country identified in (a) (ii) above. (4 marks)

Investment in education and training
The government can build more schools and technical colleges, give scholarships and provide on-the-job training. This raises the literacy and skills of the population so that workers can do more demanding and better-paying jobs.

Improving health care and working conditions

By providing more clinics, free vaccinations, clean water and laws that ensure safe workplaces, the government keeps workers healthy and productive. Healthy workers are absent less, work longer and contribute more to the economy.

7(c) Economic problems and measures

Identify TWO major economic problems facing Caribbean countries and discuss ONE measure that can be used to address EACH problem. (8 marks)

Problem: High unemployment, Measure: Encouraging investment and entrepreneurship

Many Caribbean countries have unemployment rates above 10 per cent, especially among young people. To address this, governments can offer tax holidays and grants to attract foreign investors and to support local entrepreneurs. New hotels, factories and small businesses then create jobs, raise household incomes and reduce the strain on welfare services.

Problem: Persistent balance of payments deficit, Measure: Promotion of exports and tourism

Caribbean countries import more than they export and so face balance of payments deficits. The government can address this by giving export support such as marketing assistance, low-interest loans for exporters and incentives to the tourism sector. As exports of goods and services grow, the country earns more foreign exchange, which closes the gap on the balance of payments.